



M3 Country Version for the United States of America Configuration Guide

M3 13.4

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About this guide

This guide provides high-level configuration guidelines for implementing this M3 Country Version. For detailed information, see the related documentation. A country version consists of several parts:

- Translations, which are divided in three areas:
 - Screen-related items and reports
 - Online help
 - User guides

There are no configuration options for translations.

- Unique functions for a country.

Requirements from a country are sometimes unique for that country.

- Configurations of other M3 modules.

Several requirements are almost identical in different countries, with only minor variances in the process. The ambition is to deploy these functions in the M3 modules that can be configured.

In other cases, to meet requirements, users can add content in various functions in M3 modules.

Intended audience

This guide is for the experienced M3 users or consultants who are responsible for configuring this country version.

Related documents

You can find these documents in the Infor Support Portal:

- *M3 Business Engine Release Notes*
- *M3 Business Engine Country Updates*
- *M3 Financial Business Messages for the United States Release Notes*
- Net Change Reports (NCR)
- Country fact sheet

You can find the *M3 Business Engine User Documentation Infocenter* at <https://docs.infor.com>.

Contacting Infor

If you have questions about Infor products, go to Infor Concierge at <https://concierge.infor.com/> and create a support incident.

If we update this document after the product release, we will post the new version on the Infor Support Portal. To access documentation, select **Search > Browse Documentation**. We recommend that you check this portal periodically for updated documentation.

If you have comments about Infor documentation, contact documentation@infor.com.

Chapter 1: General configuration

This chapter includes general configuration areas specific to this country.

Country version United States of America

Requirement

Set up a legal entity to support business operations in the US.

M3 solution

Specific functions and master data for the US can be activated.

Configuration guidelines for 'Country. Open' (CRS045)

Connection with Division.

Field	Value
Country	US
Country cd ISO	US
Free trade assn (Free trade association)	NAF
Currency	USD
Chk dig mtd VAT	03
Formatting rule	US

You can leave the other fields blank or set them to 0.

Configuration guidelines for additional programs

Program ID	Program name	Description or comment
CRS046	States per Country. Open	Connection with Country.
CRS008	Facility. Open	Connection with Division.

Program ID	Program name	Description or comment
MMS005	Warehouse. Open	Connection with Division.
DRS045	Time Zone. Open	Connection with Division.
CRS055	Currency. Open	Connection with Division. Set the Currency field to USD .
MNS100/L	Company. Connect Division	Leave the System config field blank. To activate specific functions, set the Country version field to US-USA .

Tax registration number

Requirement

US sales tax is levied on the sale or lease of goods or services and is generally administered at the state level.

M3 solution

To administer and calculate sales tax, customers can use M3 or an external sales tax system, such as Vertex:

- To calculate sales tax based on the M3 sales tax tables, customers can use M3.
- To calculate sales tax, customers can use a third-party solution.
- For vendor invoices, customers can use M3 sales tax functionality. For sales tax on customer invoices, customers can use a third-party solution.

Configuration guidelines

Program ID	Program name	Description or comment
MNS100/G	Company. Connect Division	Set the appropriate sales tax method: To calculate sales tax based on M3 sales tax tables, specify 2 . To calculate sales tax using a third-party solution, for example, Vertex, specify 3 . To calculate VAT on supplier invoices and Vertex sales tax on customer invoices, specify 4 . To calculate M3 sales tax on supplier invoices and Vertex sales tax on customer invoices, specify 5 . Specify the geographic code for the division.

Format of bank account numbers

Requirement

Countries and banks have different structures for bank account numbers.

The routing number is known as Routing Transit Number (RTN). This number is used to identify a bank or financial institution in a transaction, such as an ACH or Wire Transfer. The IBAN is not used.

M3 solution

The formats in this country for domestic and international bank accounts are supported by M3.

General configuration guidelines

Format	Example
Domestic bank account number	ABA routing transit number of nine digits, account number of 10 digits, subaccount number, identifier, and account name
International bank account number	Bank account number and routing number, used with the SWIFT code

Specific configuration guidelines

Program ID	Program name	Description or comment
CRS072	Bank Account Indicator. Open	Indicator for all bank accounts: Bank account field 1 defined for 'BSB Bank number', a maximum length 6 characters allowed. Check box 'Numeric' selected. Bank account field 2 defined for 'Account number', a maximum length 9 characters allowed. Check box 'Numeric' selected. Country code set to US. Check digit method not used.
CRS692	Bank Account. Open	Account type = 1 for Division/Entity Account type = 2 for Customers Account type= 3 for Suppliers
CRS695	Bank Format. Open	Generate the standard US formats by selecting Actions – Gen standard or F14.
CRS690	Bank. Open	Bank Name; Address; and SWIFT code details.

Book of accounts and voucher numbers

Requirement

Each document that is entered in the general ledger must have a chronological number, namely a voucher number. These number series are normally separated into subseries, which can be done in two ways:

- With a book of accounts, each number series starts from 1 every year.
- With separate number sequences, the series can be arbitrary, but they must not overlap.

M3 solution

Both alternatives are supported by M3.

Configuration guidelines

Program ID	Program name	Description or comment
CRS750/F	Settings - General Ledger	Select or clear the Book of account check box.
CRS410	Voucher Number Series. Open	
CRS408	Book of Account. Display	
CRS412	FAM Function. Exception. Open	To replace the default values set in (CRS405).

Journal number

Requirement

All entries of accounting transactions that are specified in a general ledger must be numbered in an unbroken sequence.

M3 solution

M3 has one unbroken number series. M3 supports two internal number series:

- The journal number is a global number series for all accounting entries in M3. The journal number is annual and cannot be configured by the user.
- Voucher numbers can be grouped into a book of accounts and these groups can all start on 1 each year. These number ranges are configured by the user.

Configuration guidelines

Program ID	Program name	Description or comment
CRS750/E	Settings - General Ledger	External or internal transactions, or both
CRS400	Journal Number Series. Open	Reset for each financial accounting year

Storno accounting – a debit and credit code

Requirement

In many countries, debit and credit accounting entries are represented with positive (+) and negative (-) amounts in the various amount fields.

In countries that follow Storno accounting rules, a one-character code is used alongside the amount fields. With this code, negative debits and positive credits are allowed and are used to reflect correcting accounting entries.

M3 solution

In this country, debit and credit are usually represented by the Plus (+) and Minus (-) signs without any additional code.

Configuration guidelines

Program ID	Program name	Description or comment
CRS750/E	Settings - General Ledger	The Debit/credit cd field is normally cleared for this country.

Periodic or perpetual accounting method

Requirement

Accounting for purchases of inventory can follow the perpetual accounting method or the periodic accounting method:

- If perpetual accounting is used, then the balance sheet is directly updated with purchases.
- If periodic accounting is used, then the profit and loss account is the first account updated with purchases in the period.

M3 solution

To meet the preferred accounting preference of customers, this internal accounting rule can be set at the entity or division level. In this country, it is common to use perpetual accounting.

Configuration guidelines

Program ID	Program name	Description or comment
CAS900/E	Settings - Cost Accounting	We recommend that you set the 010 – Inventory System parameter to 1-Perpetual invent system .

Chapter 2: General ledger

This chapter includes configuration areas for the general ledger.

Chart of accounts (COA)

Requirement

Financial reporting and accounting for any business depends on a well-structured chart of accounts, so that collecting large volumes of accounting data can efficiently reflect the performance and position of a specific business.

M3 solution

An account coding string of seven accounting dimensions, each of ten characters, is supported by the general ledger in M3. The first dimension is defined as the chart of accounts. The remaining six dimensions or identities that are stored from the specified coding string can be used to further analyze the dimension-1 account.

Configuration guidelines

Program ID	Program name	Description or comment
CRS633	Account Group. Open	Connection to accounting identities of the dimension 1.
CRS630	Accounting Identity. Open	Dimension 1 – Definition and naming conventions and rules. Each of the seven identities is ten characters long. You can use logical coding: GL Header Account: 01000 GL Nominal A/Cs: 010009, 010100, 010109etc. In the E panel, select the applicable check boxes for the accounts.

Profit and loss report

Requirement

All registered companies must produce a profit and loss report, or an income statement, and send it to the government.

Financial reporting in the US is regulated by the Financial Accounting Standards Board (FASB) and the federal Securities and Exchange Commission (SEC) with the recognized reporting framework, the Generally Accepted Accounting Principles (GAAP).

The SEC regulates the disclosure rules for public companies. Disclosure rules for private companies are controlled by GAAP.

M3 solution

With the M3 Financial Report Generator module (RGR), any type of official report can be formatted and produced from M3 General Ledger. The same reports can also be saved and used to provide the same information as an M3 online enquiry.

Configuration guidelines

Program ID	Program name	Description or comment
GLS690	GL Balance File Key. Open	Eight predefined balance keys exist, but you can create others as required for your business.
MNS204	Output Service Selection. Open	Create a record for the RGS655PF output file that is created by the report generator. Set the Layout field to A4 .
RGS600	Report. Open	
RGS610	Column. Open	
RGS620	Lines. Open	
RGS630	Cell. Open	
RGS010	User. Open for Report Distribution	
RGS220	User. Display for Report Distribution	Configure the online display of formatted reports.

Balance sheet report

Requirement

Financial reporting in the US is regulated by the Financial Accounting Standards Board (FASB) and the federal Securities and Exchange Commission (SEC) with the recognized reporting framework, the Generally Accepted Accounting Principles (GAAP).

The SEC regulates the disclosure rules for public companies. Disclosure rules for private companies are controlled by GAAP.

M3 solution

With the M3 Financial Report Generator module (RGR), any type of official report can be formatted and produced from M3 General Ledger. The same reports can also be saved and used to provide the same information as an M3 online enquiry.

Configuration guidelines

Program ID	Program name	Description or comment
RGR Module	Report Generator	As for the Profit and Loss report

Cash flow statement

Requirement

Financial reporting in the US is regulated by the Financial Accounting Standards Board (FASB) and the federal Securities and Exchange Commission (SEC) with the recognized reporting framework, the Generally Accepted Accounting Principles (GAAP).

The SEC regulates the disclosure rules for public companies. Disclosure rules for private companies are controlled by GAAP.

M3 solution

With the M3 Financial Report Generator module (RGR), any type of official report can be formatted and produced from M3 General Ledger. The same reports can also be saved and used to provide the same information as an M3 online enquiry.

Configuration guidelines

Program ID	Program name	Description or comment
RGR Module	Report Generator	As for the Profit and Loss report

General ledger report

Requirement

The provision of a general ledger report, by an accounting system, is commonly required.

M3 solution

The historic transaction report that is produced for each account identity shows this information:

- Opening balance
- All transactions in accounting date sequence
- Closing balance

Configuration guidelines

Program ID	Program name	Description or comment
GLS535	Account. Print Specification	Report with version control and 16 unique report layouts
GLS525	General Ledger. Print	Report with five unique report layouts and print options

Trial balance report

Requirement

The provision of a trial balance report over the general ledger, by an accounting system, is a fundamental accounting requirement.

M3 solution

A five-column report shows this information for each account:

- Opening balances
- Period balances
- Closing balances

An eight-column report shows this information for each account, with separate columns for debit and credit values:

- Opening balances
- Period balances
- Period movements and closing balances

Configuration guidelines

Program ID	Program name	Description or comment
GLS510	General Ledger. Print Balance Lists	Report with version control and eight unique report layouts
GLS635	Balance 8 Columns. Print	With currency handling and page numbering

Voucher report

Requirement

The provision of a report over all vouchers in the system, by an accounting system, is a common audit and internal control requirement.

In this country, no specific layout is required for this audit report.

M3 solution

A standard report can be used for printing all vouchers in a number sequence or an accounting book.

Configuration guidelines

Program ID	Program name	Description or comment
GLS960	Voucher. Check Number	Report by voucher series and From date

Business segment reporting (FAS 131)

Requirement

Companies that have operations in different geographies or with different product lines must report revenues, costs, and working capital per business segment.

M3 solution

Accounting events, types, and setups that can be configured to ensure that revenues and costs for each customer and supplier invoice are booked to a segment code that is stored in one of the seven accounting dimensions.

Configuration guidelines

Program ID	Program name	Description or comment
CRS012	Accounting Dimension. Enter Names	One of the 7 dimensions can be used to ensure that revenues and costs per customer and supplier are booked to business segments to enable compliance with IFRS 8 business segment reporting.
CRS395	Accounting rule. Set	Configure the setups to capture the information for segment reporting.
CRS645	Accounting Structure. Open	Accounting structures can also be used for segment reporting.
GLS690	GL Balance File Key. Open	
CRS410	Voucher Number Series. Open	If the M3 Book of Accounts (BOA) functionality is used, a separate BOA for segment reporting can be created and attached to the FAM functions. See the settings for (CRS405).
CRS722	Settings – Customer Order Invoicing	Select the Sep voucher no check box.
CRS405	FAM Function. Open	Configure FAM functions AR99 and AP99.
APS590	AP Segment Balance. Create	Period-end segmentation of AP Control.
ARS590	AR Segment Balance. Create	Period-end segmentation of AR Control.

Foreign currency revaluation (FAS 52)

Requirement

A currency revaluation is required in the local reporting currency of open positions in foreign currencies, using an exchange rate at the period closing date.

M3 solution

Unrealized gains and losses related to currency exchange rates and due to open currency invoices in the accounts receivable ledger and the accounts payable ledger can be recognized at period end for these balances:

- Accounts receivable
- Accounts payable
- Currency bank balances

Currency bank balances and investments in foreign currencies can also be revalued.

Configuration guidelines

Program ID	Program name	Description or comment
CRS056	Exchange Rate Type. Open	
CRS059	Exchange Rate Type. Open per Currency	
CRS630	Accounting Identity. Open	Select the Revaluation account check box for accounts that are to be revalued.
CRS395	Accounting Rule. Set	Configure accounting rules against GL20, GL21 and GL22 events.
CRS405	FAM Function. Open	Configure the GL20 function.
GLS160	Unrealized Exch Rate Variance. Update	Select a revaluation account: 1-Currency amount 2-Accounts receivable 3-Accounts payable

Chapter 3: Accounts receivable

Use the guidelines in this chapter to configure accounts receivable for this country version.

Accounts receivable balance report

Requirement

The provision of a trial balance report over accounts receivable balances, by an accounting system, is commonly required.

M3 solution

For this purpose, the Accounts Receivable report shows this information for each customer:

- Opening balance
- Period balance
- Closing balance

A specific report shows this information per debit and credit:

- Opening balance
- Period balance
- Period movements
- Closing balance

Configuration guidelines

Program ID	Program name	Description or comment
ARS520	Acc Receivable. Print Balances	Version control and six unique report layouts
ARS605	Trial Balance - AR. Print	Currency handling and two unique report layouts

Accounts receivable invoice report

Requirement

The provision of a report on accounts receivable, by an accounting system, is commonly required. This report must specify the invoices for which a balance in the accounts receivable ledger and in the general ledger is created.

M3 solution

The detailed report shows the list of all open invoices at a specified date. This report can also show the list of all open invoices that were open at a date and that are still open at a later date.

Configuration guidelines

Program ID	Program name	Description or comment
ARS500	Accounts Receivable. Print	Four invoice selections and two unique report layouts

Reminder letters and penalty interest processing

Requirement

Some customers must be reminded to pay outstanding invoices. The penalty interest procedure is not required, but if a company wants to charge interest, it must be done legally.

M3 solution

The credit management process that is supported by M3 consists of these main activities:

- 1 An itemized monthly statement is sent to the Accounts Payable department for each customer with unpaid invoices. The statement includes a summary of the total debt that is split into aging buckets.
- 2 The statement is followed by one to three reminder letters. These are only sent to customers with unpaid overdue invoices, according to their payment terms.
- 3 Then, if still not paid, the total debt owed by a customer is represented by several individual invoices and handed over for legal collection.

A penalty interest invoice can also be used as part of the collection process. In this case, the invoice or the reminder letter must indicate that interest is calculated from the due date until the payment date.

Configuration guidelines

Program ID	Program name	Description or comment
CRS165	Number Series. Open	For dunning letters, create a record for the number series type 50 with the number series 1. For collections, create a record for the number series type 50 with the number series 4. If interest invoicing is to be used, create a record for the number series type 51 with the number series 1.
CRS465	Payment Reminder Rule. Open	Connection with Customer Master.
ARS007	Interest ID. Open	Connection with Customer Master.
ARS010	Payment Reminder Rule. Enter Text	
ARS080	Interest Invoicing Rule. Enter Text	
ARS085	Collection. Enter Text	
CRS610/K	Customer. Open	To include the customer in the payment reminder routine, select the Pmt remind rule check box, and select the relevant payment reminder rule. If the customer is to be included within the collection routine, select the Collection check box. Note: If penalty interest invoicing is valid for the customer, select the Interest rule field and select the applicable interest rule. The interest rules are created in 'Interest Invoicing Rule. Open' (CRS460), and the text is specified in 'Interest Invoicing Rule. Enter Text' (ARS080).
ARS150	Payment Reminder. Open	M3 Proposal with edit and then update.
ARS160	Interest Invoice. Open	M3 Proposal with edit and then update.
ARS170	Collection. Open Assignment	M3 Proposal with edit and then update.

Customer statements

Requirement

With customer statements, customers can reconcile their account information, resolve outstanding issues, and arrange prompt payment based upon agreed payment terms.

M3 solution

Customer statements can be printed with or without suitable aging rules and based on the invoice date or the due date.

Configuration guidelines

Program ID	Program name	Description or comment
CRS165	Number Series. Open	Create the number series type 50 with the number series 2.
ARS005	AR Statement of Account. Enter Text	
CRS470	Payment Forecast. Open	Connection with Statement Rule.
CRS665	Statement Rule. Open	Connection with Customer Master.
CRS610/K	Customer. Open	Set the Statement code field to 2-Statement without aging or 3-Statement with aging buckets . Specify a value in the Statement rule field.

Management of customer debit notes

Requirement

If a customer disputes a debt and sends their own debit note with a partial payment, then this debit note reference must be reflected in their M3 customer statements.

M3 solution

Debit notes that are reducing the paid amount may be received from the customer. These debit notes can be assigned to a responsible M3 user. This user can decide to accept the debit note, to create or reject a credit memo, and to produce a billback.

Configuration guidelines

Program ID	Program name	Description or comment
CRS165	Number Series. Open	Create two records. Set the Number ser type (Number series type) field to 52 for both records. Set the Number series field to 1 for one record and 2 for the other record.
ARS052	Bill Back Type. Open	

Program ID	Program name	Description or comment
ARS016	Debit Reason. Open	
ARS125	Debit Note. Open	To manage debit notes, use this program.
ARS998	Debit Note. Reminder	To create reminders for debit notes that have a follow-up date before the current day's date, regularly run this program.

Customer direct debiting

Requirement

Direct debiting is a reversed customer payment process. The supplier is given the authority from the customer to withdraw the relevant amount from the customer's bank account on the due date. The process follows this logic:

- 1 The invoice must show this text: 'Do not pay this invoice – it will be paid according to direct debiting'.
- 2 Before the due date, the supplier asks the bank to withdraw the amount from the customer's account on the due date. This operation is performed through an electronic message.
- 3 The supplier receives the cash through another electronic message from the bank in the ordinary cash receipts function.

M3 solution

When invoices become due for payment a direct debit collection is created. When the direct debit collection is confirmed, an electronic output file, to be sent to the bank, and remittance documents are created.

Confirmation is received from the bank and any failed collections can be deleted and communicated, using a standard letter, to the customer. Confirmed payments are reconciled.

For this country version, the Financial Business Message (FBM) `M3BE15_US_Out_Bank Remittance_ACHCCD` is used.

Configuration guidelines

Program ID	Program name	Description or comment
CRS116	Document Media. Open	Create a record for media category 06-MBM initiator . Connection with Output Service Type. Connect Media
MNS214	Output Service Type. Connect Media	
MNS218	Output Server. Open	Enter correct server details. Connection with Output Service

Program ID	Program name	Description or comment
MNS217	Output Service Type. Open	Create for Interface XMLOUT. Connection with Output Service
MNS216	Output Service. Open	
CRS929	M3 Document. Connect Media	Connect media MBM for document number 501-Bank remittance . Connection with 'Media Ctrl Object Doc. Connect Media' (CRS949).
CRS945	Std Document. Connect Media Ctrl Object	Create the correct bank ID and direct debit payment method for document number 501-Bank remittance .
CRS949	Media Ctrl Object Doc. Connect Media	To open this program, from (CRS945), select Related > Media . Create a connection to media MBM .
CRS165	Number Series. Open	Create two records. For remittance numbers, set the number series type to 80 and the number series to 1 . for direct debiting, set the number series type to 82 and the number series to 0
CRS405	FAM Function. Open	Configure functions AR80 , AR86 , and AR87 .
CRS395	Accounting Rule. Set	Configure rule AR75 193 .
CRS078	Payment Type. Open	Create a direct debit payment type attached to a payment class 5 - Direct debit . Connection with Payment Method.
CRS076	AR Payment Method. Open	Create a payment method, for example DD . Set the Payment type field as defined in (CRS078). Set the Electronic format field to US-ACHC-CD .
CRS072	Bank Account Indicator. Open	Connection with Bank Account.
CRS692	Bank Account. Open	A company bank account, of type 1 , must exist. Customer bank accounts, of type 2 , must exist.
ARS050	Payment Received. Open Standard Letter	Create a standard letter of type 1 to inform customers of failed collections.
ARS300	Bank Remittance. Open	Create a proposal and confirm it to create the output file.

Program ID	Program name	Description or comment
ARS350	Bank Remittance. Reconcile Payment	Delete failed collections and send a standard letter. Reconcile when correct and complete.

For detailed configuration guidelines, see the User Guide available in the FBM package.

Chapter 4: Accounts payable

Use the guidelines in this chapter to configure the accounts payable for this country version.

Accounts payable balance report

Requirement

The provision of a trial balance report over accounts payable balances, by an accounting system, is commonly required.

M3 solution

The Accounts Payable report shows this information for each supplier:

- Opening balance
- Period balance
- Closing balance

A specific report shows this information per debit and credit:

- Opening balance
- Period balance
- Period movements
- Closing balance

Configuration guidelines

Program ID	Program name	Description or comment
APS530	Accounts Payable. Print Balances	Version control and six unique report layouts
APS605	Trial Balance. AP Print	Currency handling and two unique report layouts

Accounts payable invoice report

Requirement

The provision of a report over the accounts payable ledger, by an accounting system, is commonly required. This report must specify the invoices included in the balance in the accounts payable ledger and the general ledger.

M3 solution

The detailed Accounts Payable report shows the list of all open invoices at a given date. In addition, the same report can show a list of all open invoices that were open at a date and that were still open at a later date.

Configuration guidelines

Program ID	Program name	Description or comment
APS500	Accounts Payable. Print	Four invoice selections and two unique report layouts

Electronic supplier payments

Requirement

Functionality for electronic payments and remittances of invoices to approved suppliers, through the banking systems of a specific country, is a normal business requirement.

In the US, financial transactions are processed centrally by the Automatic Clearing House (ACH).

M3 solution

The supplier payment proposal selects the invoices and credit invoices that are to be included in a payment run. On update of the proposal, a detailed electronic payment file to international banking standards is produced.

For this country version, the Financial Business Message (FBM) M3BE15_US_Out_SupplierPayment_ACHPPD is used.

Configuration guidelines

For detailed configuration guidelines, see the User Guide available in the FBM package.

Program ID	Program name	Description or Comment
CRS116	Document Media. Open	Create a record for media category 06-MBM initiator . Connection with Output Service Type. Connect Media
MNS214	Output Service Type. Connect Media	
MNS218	Output Server. Open	Enter correct server details. Connection with Output Service
MNS217	Output Service Type. Open	Create for Interface XMLOUT. Connection with Output Service
MNS216	Output Service. Open	
CRS929	M3 Document. Connect Media	Connect media MBM for document number 500-Manual bank transfer . Connection with 'Media Ctrl Object Doc. Connect Media' (CRS949).
CRS945	Std Document. Connect Media Ctrl Object	Create the correct Bank ID and payment method for document number 500-Manual bank transfer .
CRS949	Media Ctrl Object Doc. Connect Media	To open this program, from (CRS945), select Related > Media . Create a connection to media MBM .
MNS204	Output Service Selection. Open	Create a connection to media MBM , and set the service ID to MEC_Service and the interface to XMLOUT .
APS905	Settings – Accounts Payable	We recommend that you clear these check boxes for supplier settings in the F panel: 200 Auto deletion of confirmed payment proposal 270 Include payments with zero amounts in APS130 You can set the other fields as required.
CRS165	Number Series. Open	For the payment proposal, create series type 80-0 . For the payment reference, create series type 89-1 . For payment advice, create series type 67-A .
CRS045	Country. Open	We recommend that you follow the ISO 3166-1 standards.
CRS046	State per Country. Open	If applicable, we recommend that you follow the ISO 3166-2 standards.

Program ID	Program name	Description or Comment
CRS055	Currency. Open	We recommend that you follow the ISO 4217 standards. Create current exchange rates.
CRS078	Payment Type. Open	A payment type with payment class 3 for bank transfers must exist. Connection with Payment Method.
CRS071	AP Payment Method. Open	Payment class = 3-Bank transfer Transfer method = 3-Electronic payment Electronic format = US-ACHPPD Grouped payment can be set to 0, 1 or 2. Bank confirmation can be set to 0 or 1.
CRS405	FAM Function. Open	Create function AP32 .
CRS620	Supplier. Open	For suppliers, define the payment method for credit transfer. To do this, set the Payment class field to 3.
CRS622	Supplier Connect Address	For the supplier name and address, select an address type: • 10-Bank address • 01-Postal address, if address type 10 is not defined
CRS690	Bank. Open	Connection with Bank Account.
CRS072	Bank Account Indicator. Open	Connection with Bank Account.
CRS692	Bank Account. Open	A company bank account, of type 1, must exist. Supplier bank accounts, of type 3, must exist.
APS130	Supplier Payment Proposal. Open	Create a proposal, then review and confirm it.

Supplier tax deduction or withholding tax

Requirement

In the US, certain payments are recorded and the information is submitted to the Internal Revenue Service (IRS). The paid supplier is also sent a copy of the 1099 form that is detailing the payments that they have received as income.

M3 solution

Four methods are possible for processing and controlling supplier tax deductions, accounting and reporting. The selected method is determined by country-specific rules:

- The Alt1 method, where supplier payments are reported for tax purposes, but no tax deduction is made
- The Alt2 method, where tax deductions are made on the supplier payment and then reported to tax authorities
- The Alt3 method, where supplier tax deductions are recorded on invoice entry, but are accounted for only when the supplier payment is recorded
- The Alt4 method, where the tax deduction is accounted for at the entry of the supplier invoice

Any tax exemption letter that is received from suppliers can be recorded in the supplier master record.

For this country version, the Financial Business Message (FBM) `M3BE15_US_Out_SupplierTaxReport_1099_Misc` is used.

Configuration guidelines

For detailed configuration guidelines, see the User Guide available in the FBM package.

Program ID	Program name	Description or Comment
CRS116	Document Media. Open	Create a record for media category 06-MBM initiator . Connection with Output Service Type. Connect Media
MNS214	Output Service Type. Connect Media	
MNS218	Output Server. Open	Enter correct server details. Connection with Output Service
MNS217	Output Service Type. Open	Create for Interface XMLOUT. Connection with Output Service
MNS216	Output Service. Open	
CRS929	M3 Document. Connect Media	Connect media MBM for document number 507-Supplier tax reporting . Connection with 'Media Ctrl Object Doc. Connect Media' (CRS949).
CRS945	Std Document. Connect Media Ctrl Object	Create the correct Bank ID and payment method for document number 507-Supplier tax reporting .
CRS949	Media Ctrl Object Doc. Connect Media	To open this program, from (CRS945), select Related > Media . Create a connection to media MBM .
MNS204	Output Service Selection. Open	Create a connection to media MBM , and set the service ID to MEC_Service and the interface to XMLOUT .

Program ID	Program name	Description or Comment
APS905	Settings – Accounts Payable	Clear the 260 Withholding tax using flexible service codes check box. You can set the other fields as required.
APS035	Settings – Supplier Tax	Enter details and set report method to 3-For USA- two suppliers per page .
CRS063	Supplier Service Code. Open	Create and map to form 1099, see the detailed guidelines below.
CRS622	Supplier. Connect Address	Create an address type 1, as the most up-to-date details will be used on the 1099 form.
CRS624/F	Supplier. Define Purchase Financials	Enter the default Service code as per CRS063 and set the tax withholding method to 1 .
TXS035	Taxation Reporting. Open Report Fields	See the detailed guidelines below.
CRS395	Accounting Rule. Set	Configure accounting rules for accounting type 396 .
APS425	Supplier Tax Report. Display Invoices	
APS430	Supplier Tax Report. Create Proposal	

Specific configuration guidelines for Supplier Service Code – CRS063

Service code	Description	Box ID	Box header
01	1099 – Box 1 Rents	01	Rents
02	1099 – Box 2 Royalties	02	Royalties
03	1099 – Box 3 Other Income	03	Other Income
04	1099 – Box 4 Federal Income Tax Withheld	04	Fed Withholding
05	1099 – Box 5 Fishing Boat Proceeds	05	Fish Boat Proc
06	1099 – Box 6 Medical & Healthcare Paymt	06	Med & Hlthcare
07	1099 – Box 7 Nonemployee Compensation	07	Nonemployee Com
08	1099 – Box 8 Substitute Pymnt Dividends	08	Subs Paymnt Div
10	1099 – Box 10 Crop Insurance Proceeds	10	Crop Ins Proc

Service code	Description	Box ID	Box header
11	1099 – Box 11 Income Tax Withheld	11	Inc Tax Withhld
12	1099 – Box 12 State/Payer's State Number	12	State/Payer's N

Specific configuration guidelines for Taxation Reporting. Open Report Fields – TXS035

Create these type 6 codes:

Additional field	Description/name	Length	Field value
001	Vendor Name	40	Specify the name of the vendor.
002	Vendor Mailing Address	40	Specify the mailing address.
003	Vendor City	40	Specify the vendor city.
004	Vendor State	02	Specify the vendor state.
005	Vendor ZIP Code	09	Specify the vendor zip code (numeric).
006	Vendor Contact Name	40	Specify the vendor contact name.
007	Vendor Contact Telephone Number	15	Specify the vendor telephone number (numeric).

Overhead commitment control

Requirement

Purchasing of M3 non-stock items can be controlled against financial budgets. An additional budget can be used where an overspend on the original budget amount is approved.

M3 solution

Commitment is monitored from the point a department enters a purchase requisition for a non-inventory item. If the accounting string that is used is included in the control budget, this calculation is automatically performed:

Budgeted value + Manually-entered overspend - Actual year-to-date value for the accounting string - Committed value

If the calculated amount is greater the PO line amount, then it is added to the general ledger balance file for the budget that is reserved for committed values. If the PO line is to be deleted afterward or the

status is changed from Definitive to Preliminary, then the procedure is reversed. When the goods are received or when the invoice is recorded, the committed amount is deducted automatically.

If the calculated amount is lower than the PO line amount, then the PO is either blocked and updated with the status 14 or a warning is issued, depending on the selection in (CRS750/G). See the configuration guidelines.

Configuration guidelines

Program ID	Program name	Description or comment
CRS012	Accounting Dimension. Enter Names	Connection to general ledger settings.
BUS100	Budget. Open	Connection to general ledger settings. Create these budgets: An expenditure control budget An empty budget that is reserved for committed expenditures A budget for manual entry of approved overspend
CRS750/G	Settings - General Ledger	Select the Use commitment check box, specify the used budgets, and set the other fields accordingly.
PPS970	Commitment. Calculate	Run to update the commitment budget manually. Note: The commitment budget is updated overnight with committed values by M3 Job Scheduler. Old values are thus continuously replaced with new values.
GLS216	Column Template - Balance Inquiry. Open	Include the commitment budgets in a column template. Connection to 'GL Balance File. Display' (GLS215).
GLS215	GL Balance File. Display	To display actual against commitment information for the affected cost centers or departments, use the column template for commitment budgets. See the hereinabove description for (GLS216).

Chapter 5: Fixed assets

Use the guidelines in this chapter to configure fixed assets for this country version.

Depreciation

Requirement

As commonly required, the value of fixed assets is reduced over time to reflect the fact that the business is consuming their economic value. Depreciation is the accounting method used to reflect this reduction in value. Different businesses in different countries can use different depreciation methods and rules to calculate a periodic depreciation charge.

A fixed asset can have an economic life between 1 and 50 years.

M3 solution

The M3 Fixed Asset module supports different depreciation methods and bases. These rules are then used to create asset-specific depreciation plans over the asset lifetime. Each fixed asset can be depreciated by different rules, for example, book or tax depreciation.

Configuration guidelines

Program ID	Program name	Description or comment
FAS050	FA Depreciation Type. Open	Connection with Fixed Asset Type.
FAS060	FA Value Type. Open	Connection with Fixed Asset Type.
FAS070	FA Location. Open	Connection with Fixed Asset Type.
FAS080	FA Group. Open	Connection with Fixed Asset Type.
FAS075	FA Type. Open	
CRS395	Accounting Rule. Set	Configure for event FA10 .
CRS405	FAM Function. Open	Configure function FA10 .
FAS920	Settings - Extraordinary Depreciation	

Program ID	Program name	Description or comment
FAS040 FAS045	Column Template - Display FA. Open Column Template FA Value. Open	Create templates to allow the display and reporting of assets.
FAS100	FA Depreciation. Create Account Entries	Create a proposal, review and update it.

Fixed asset reporting

Requirement

The reporting of fixed asset movements, transfers, sales, and disposals is commonly required.

M3 solution

M3 functionality includes specific reports that support annual reporting requirements for these fixed asset movements in the accounting year:

- Asset transfers
- Sales of assets
- Disposals of assets

Configuration guidelines

Program ID	Program name	Description or comment
FAS500	Fixed Asset. Print Catalog	
FAS510	Fixed Asset. Print Values	
FAS515	Fixed Asset. Print Detailed Catalog	
FAS520	Fixed Asset. Print Period Changes	
FAS530	Fixed Asset. Print Historical Values	
FAS550	Fixed Asset. Print Values Detailed	

Fixed asset impairments – ASC 360-10

Requirement

If the carrying value of a fixed asset is higher than its undiscounted future cash flows, the company must adjust the value of the asset to reflect the fair value. To identify the possibility of such book adjustments, the company must create an impairment test for all relevant assets.

M3 solution

There may be an external indication to the company that the value of an asset has fallen and therefore must be impaired. Comparing the current market fair value to the carrying amount of the asset will highlight the need to impair the value of the asset.

Once the requirement for impairment is apparent, 'FA Depreciation. Create Extraordinary' (FAS140) is used to create extraordinary depreciation for each fixed asset that is affected.

Configuration guidelines

Program ID	Program name	Description or Comment
CRS395	Accounting Rule. Set	For the impairment of fixed assets, accounting rules FA30 520 and FA30 530 are used to post the results of the extraordinary depreciation.
CRS405	FAM Function. Open	Configure FAM functions FA20 and FA30 .
FAS040 FAS045	Column Template Display FA. Open Column Template FA Value. Open	Create templates to display the carrying amount and the fair value of assets, and the difference between these amounts. Create templates to determine that only fixed assets with a carrying amount greater than the fair value amount are printed.
FAS060	FA Value Type. Open	To store the impairment adjustment.
FAS140	FA Depreciation. Create Extraordinary	To book the accounting adjustment.
FAS200	Fixed Asset. Display	To display the impairment value.
FAS510	Fixed Asset. Print Values	To print asset and impairment values.

Fixed asset tax adjustment

Requirement

If in the last quarter of the year, the company makes over 40% of its asset additions, then the depreciation must be calculated based on the mid-quarter assumption for the assets added in the current year.

M3 solution

The Tax Adjustment Proposal in M3 is used to check if the total additions in the last accounting quarter exceed 40% of the total depreciable assets placed in service during the entire year and the half year convention is being used. If this is the case, then the half year convention is switched to the mid quarter rule when the proposal is updated. The fixed asset records are updated accordingly.

Configuration guidelines

Program ID	Program name	Description or Comment
FAS025	Depr Template. Open for Decl. Depr	
FAS055	FA Depreciation Plan. Open	
FAS105	Fixed Asset. Tax Adjustment Proposal	Create a proposal and update it.

Chapter 6: Current assets

Use the guidelines in this chapter to configure current assets for this country version.

Inventory valuation

Requirement

Inventories are to be valued at the lowest of acquisition cost and market value. According to ASC 330-10 acquisition cost value can be calculated using LIFO, FIFO, or Average method.

M3 solution

M3 supports a specific period-end function that can be configured to fulfill the legal requirement regarding inventory valuation. For each inventory item, a specification of the calculated values is available online and an accounting adjustment voucher is created.

Configuration guidelines

Program ID	Program name	Description or comment
CAS020	Settings - Inventory Value Variances	
CAS025	Settings. Inventory Valuation	
CRS395	Accounting Rule. Set	Rules for accounting adjustments at the end of the period for inventory valuation
CRS630	Accounting Identity. Open	Accounts that are used for cost and value adjustments
CAS180	Inventory Value. Open	Valuation at the end of the period, with comparison of inventory cost and value
CAS400	Historic Actual Cost. Calculate	

Work-in-progress valuation

Requirement

At period end, as part of the process of valuing inventory, a valuation of work in progress is also required.

M3 solution

A specific period-end function is used to generate a valuation of work in progress. Accounting and a detailed specification to support the balance sheet value are provided.

Configuration guidelines

Program ID	Program name	Description or comment
CAS030	Settings - WIP Valuation	
CRS395	Accounting Rule. Set	Rules for accounting adjustments at the end of the period for inventory valuation
CRS630	Accounting Identity. Open	
CAS170	WIP Value. Open	

Chapter 7: Taxes

Use the guidelines in this chapter to configure the tax-related functionality for this country version.

Sales tax

Requirement

US sales taxes are applied to the sale or lease of goods and services. Although no general national sales tax rate exists, particular goods and services attract government-levied sales tax rates.

The US states are generally responsible for setting and administering the sales tax rates, which vary from 1% to over 10%. Authority may be delegated to local authorities to impose additional or selective sales taxes and so different sales tax rates apply to different US states, counties, cities, and districts.

M3 solution

M3 delivers generic functionality that supports the calculation, accounting, reporting and reconciliation of sales tax. Sales tax may be calculated in M3 or it is possible to connect to a third-party system, AvaTax or Vertex, to process all sales tax or just sales tax on customer invoices, with sales tax on supplier invoices being processed in M3.

Configuration guidelines for managing sales tax in M3

For further details, see the financial accounting user guides on <https://docs.infor.com/>.

Program ID	Program name	Description or Comment
MNS100/G	Company. Connect Division	Set the sales tax method per division and specify the geographic code.
CRS793	Settings – Sales Tax	Identify five jurisdictions and specify which one is identified as State . If a third party system is being used, then you must configure other fields.

Program ID	Program name	Description or Comment
CRS046	States per Country. Open	Select a sales tax rule for states: 1-Destination 2-Origin 3-Mixed Connection with Geographic code.
CRS043	Jurisdiction per State. Open	Specify the sales tax rule from 1-Destination or 2-Origin . This information is relevant only if the sales tax rule field has been previously set to 3-Mixed in (CRS046).
CRS130	Tax Code. Open	See the detailed configuration settings for (CRS130). Connection with Geographic Code.
CRS137	Geographical Code. Enter Jurisdiction	Specify the geographical codes.
CRS138	Geographic Code. Enter Tax Rate	Specify the applicable tax rates.
CRS139	Geographic Code. Enter Exemptions	Specify the applicable exemption tax rates
TXS050	Sales Tax Exemption. Open	Specify replacing tax codes for the scenarios where exemption tax rates are required in 'Geographic Code. Enter Exemptions' (CRS139).
TXS060	Sales Tax Nexus. Open	
CRS065	Delivery Term. Open	Select the tax point.
CRS300	Ship-Via Address. Open	Specify a state, and whether the ship-via address is a drop box.
MMS005	Warehouse. Open	Specify the geographical code.
MMS001	Item. Open	Specify the default tax code.
CRS624	Supplier. Define Purchase & Financial	Specify whether tax is included and specify the default tax code.
PPS280	Costing Element. Open	Specify an element for tax with operator 90 . Set the tax code for USE tax.
CRS610	Customer. Open	Specify an address, a geographical code, a tax code, and a delivery term. If applicable, specify a tax exemption contract number.
OIS002	Customer. Connect Addresses	Specify an address and, if applicable, a ship-via address.
CRS395	Accounting Rule. Set	Configure all sales tax setups.
TXS500	Sales Tax. Print	

Specific configuration guidelines for 'Tax Code. Open' (CRS130)

Suggested tax codes:

Tax Code	Description	Taxable	Tax type
CRE	Tax adjustment credit	Yes	1-Sales tax
DEB	Tax adjustment debit	Yes	1-Sales tax
EXE	Exempt	No	1-Sales tax
NOT	No tax	No	1-Sales tax
STX	Seller use tax	Yes	2-Seller use tax
TAX	Normal sales tax	Yes	1-Sales tax
USE	Tax surcharge	Yes	5-Use tax
XTX	High rate tax	Yes	1-Sales tax

Integration to AvaTax

These instructions only apply if AvaTax is used for sales tax service.

Configuration guidelines for managing sales tax in AvaTax

Program ID	Program name	Description or Comment
MNS100/G	Company. Connect Division	Select the Tax method field to 3, 4 or 5 depending on the appropriate sales tax method.
CRS794	'Integration Settings - Tax Interface'	In Sls tax interf, select 2-AvaTax to specify the applicable sales tax service. In Server address, specify the URL provided for AvaTax, for example https://sandbox-rest.avatax.com. In Account number, specify the account number provided for AvaTax. In License, specify the license provided for AvaTax. In Logging level, select the default log level for AvaTax logging.

Program ID	Program name	Description or Comment
CRS793	Settings – Sales Tax	The available fields depend on the settings in MNS100/G. Update tax details – If you select this check box, detailed tax information can be reviewed in (OIS354), (SOS354) or (COS354). Note: This can impact the system performance. If the check box is cleared, the tax details are not stored in M3, and can only be reviewed in AvaTax. If you select Incl tax in MI, also specify the number of rows to send in Max line no.
CRS130	Tax Code. Open	See the detailed configuration settings for (CRS130), and populate Tax code AvaTax with the information provided for AvaTax.
TXS050	Sales Tax Exemption. Open	Only if tax method 5 - Purchase M3 sales tax / Sales tax interface is used: Specify replacing tax codes for the scenarios where exemption tax rates are required in 'Geographic Code. Enter Exemptions' (CRS139).
MMS005	Warehouse. Open	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the geographical codes.
CRS235	Internal address. Open	Use address type 1 – 'Final destination or goods receiving address to specify the internal address. The address information is required to determine the taxing jurisdiction. Address line 1 and 2 for the street address, the city and the postal code will be sent to AvaTax to determine the origin address.
MMS001	Item. Open	Specify the default tax code.
CRS137	Geographical Code. Enter Jurisdiction	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the geographical codes.
CRS138	Geographic Code. Enter Tax Rate	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the applicable tax rates.
CRS139	Geographic Code. Enter Exemptions	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the applicable exemption tax rates.

Program ID	Program name	Description or Comment
CRS624	Supplier. Define Purchase & Financial Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used:	If tax method 4 – 'Purchase VAT/Sales tax interface' is used, specify the applicable VAT related fields. If tax method 5-'Purchase M3 sales tax/Sales tax interface' is used: Specify geographical code, select Tax included if applicable, and select the default tax code.
PPS280	Costing Element. Open	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Create an element for tax with operator 90 . Set the tax code for USE tax.
CRS610	Customer. Open	Specify an address, a tax code and a use code in the user defined field 6. The address information is required to determine the taxing jurisdiction. Address line 1 and 2 for the street address, the city and the postal code will be sent to AvaTax to determine the destination address.
OIS002	Customer. Connect Addresses	Specify an address. The address information is required to determine the taxing jurisdiction. Address line 1 and 2 for the street address, the city and the postal code will be sent to AvaTax to determine the destination address.

Specific configuration guidelines for 'Tax Code. Open' (CRS130)

Tax codes corresponds to customers and products in AvaTax. They must be configured and assigned. Both customer and item tax codes are configured in this program. Select **Taxable** for all tax codes, even if you have non-taxable customers or products, to ensure that the tax decision takes place in AvaTax. With this setting, all tax decisions are deferred to the external system, and this simplifies the reconciliation of sales with taxable and non-taxable transactions.

In addition to these settings, the **Tax cd AvaTax** must be populated with information from AvaTax.

This is an example of tax codes for Clothing & related products (Business-To-Business):

Tax Code	Description	Taxable	Tax trans code	Tax cd AvaTax	AvaTax description
TX1	Normal sales tax	Yes	N-Normal invoice	PC030100	Clothing & related products (B2B) - General

Tax Code	Description	Taxable	Tax trans code	Tax cd AvaTax	AvaTax description
TX2	Normal sales tax	Yes	N-Normal invoice	PC030101	Clothing & related products (B2B) - Aprons - household
TX3	Normal sales tax	Yes	N-Normal invoice	PC030103	Clothing & related products (B2B) - Athletic supporters
TX4	Normal sales tax	Yes	N-Normal invoice	PC030105	Clothing & related products (B2B) - Bandanas

Integration to Vertex

These instructions only apply if Vertex is used for sales tax service.

Configuration guidelines for managing sales tax in Vertex

Program ID	Program name	Description or Comment
MNS100/G	Company. Connect Division	Set the Tax method field to 3, 4 or 5 depending on the appropriate sales tax method.

Program ID	Program name	Description or Comment
CRS794	'Integration Settings - Tax Interface'	

Program ID	Program name	Description or Comment
		In Sls tax interf, select 1-Vertex to specify the applicable sales tax service. In Vertex server, specify the URL provided for Vertex, such as https://xxx.ver-texxx.com/vertex-ws/services. Specify the applicable credentials depending on the authentication method of your version of Vertex: User Specify this field if user and password is required for authentication, or leave it blank and specify a trusted ID. Password Specify this field if user and password is required for authentication, or leave it blank and specify a trusted ID. Trusted ID Specify this field if applicable, or leave it blank and specify a combination of password and user. Vertex version Specify the version of Vertex that the company uses. This selection determines which Vertex XML schema that is used. In Logging level, select the default log level for Vertex logging. Specify timeouts as applicable: Timeout in sec The field indicates the timeout value in seconds. This timeout determines when the M3 program will stop waiting for the Vertex server to respond. Set this to 0 seconds if you never want a timeout. Note: If the time out is set to 0 and the Vertex server does not respond due to unavailability, the M3 Business Engine job will become unresponsive. Timeout sec MI The field indicates the timeout value in seconds after which M3 BE will stop waiting for Vertex to respond, when Vertex is called to calculate tax on order totals for the MI transactions 'GetHead' and 'GetOrderValue' in OIS100MI.

Program ID	Program name	Description or Comment
		The field is used when the field 'Include tax in MI' is selected in 'Settings - Sales Tax' (CRS793). We recommend a maximum of 30 seconds.
CRS793/E	Settings – Sales Tax	The available fields depend on the settings in MNS100/G and CRS794. Street name – This indicates which ship-to or customer address line that contains the street address. This is used in combination with the state and zip code for Tax area ID lookup. City name line – This indicates which ship-to or customer address line that contains the city name. This is used in combination with the state and zip code for Tax area ID lookup. Sales tax cust – This represents the customer in Vertex. The user can select the fields in M3 to represent the customer for Vertex. Sales tax item – This represents the product in Vertex. The user can select the fields in M3 to represent the product for Vertex exception based processing. Update tax details – If you select this check box, detailed tax information can be reviewed in (OIS354), (SOS354) or (COS354). Note: This can impact the system performance. If the check box is cleared, the tax details are not stored in M3, and can only be reviewed in Vertex.
CRS793/F	Settings - Sales Tax	Additional fields can be included to enable tax rule definitions in Vertex per transaction type.
CRS130	Tax Code. Open	Select Taxable for all applicable tax codes. See the detailed configuration settings for (CRS130).

Program ID	Program name	Description or Comment
CRS129	M3 Geographic code lookup. Open	Ship-from location – these tax area IDs are used from the shipping warehouse. However, if an alternative warehouse is used, the tax area IDs from that warehouse is used. Ship-to location– M3 BE uses the customer address or customer ship-to address to determine these tax area IDs. Order acceptance location – this tax area ID is taken from the main warehouse connected to the selling facility. Note: This function is called from M3 Browse.
TXS050	Sales Tax Exemption. Open	Only if tax method 5 - Purchase M3 sales tax / Sales tax interface is used: Specify replacing tax codes for the scenarios where exemption tax rates are required in 'Geographic Code. Enter Exemptions' (CRS139).
MMS005	Warehouse. Open	Specify the geographical code.
MMS001	Item. Open	Specify the default tax code.
CRS137	Geographical Code. Enter Jurisdiction	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the geographical codes.
CRS138	Geographic Code. Enter Tax Rate	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the applicable tax rates.
CRS139	Geographic Code. Enter Exemptions	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the applicable exemption tax rates.
CRS624	Supplier. Define Purchase & Financial	If tax method 4 – 'Purchase VAT/Sales tax interface is used, specify the applicable VAT related fields. If tax method 5-'Purchase M3 sales tax/Sales tax interface' is used: Specify geographical code, select Tax included if applicable, and select the default tax code.
PPS280	Costing Element. Open	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Create an element for tax with operator 90. Set the tax code for USE tax.

Program ID	Program name	Description or Comment
CRS610	Customer. Open	Specify an address, a geographical code, and a tax code. If applicable, specify a tax exemption contract number.
OIS002	Customer. Connect Addresses	Specify an address.
CRS395	Accounting Rule. Set	Configure all sales tax setups.

Specific configuration guidelines for 'Tax Code. Open' (CRS130)

Tax codes corresponds to customers and products in Vertex. They must be configured and assigned. Both customer and item tax codes are configured in this program. Select **Taxable** for all tax codes, even if you have non-taxable customers or products, to ensure that the tax decision takes place in Vertex. With this setting, all tax decisions are deferred to the external system, and this simplifies the reconciliation of sales with taxable and non-taxable transactions.

Suggested tax codes:

Tax Code	Description	Taxable	Tax trans type	Tax trans code
CRE	Tax adjustment credit	Yes	SALE	C-Tax adjustment credit
DEB	Tax adjustment debit	Yes	SALE	B-Tax adjustment debit
TAX	Normal sales tax	Yes	SALE	N-Normal invoice
EXE	Exempt	Yes	SALE	N-Normal invoice

Chapter 8: Audit and accounting

Use the guidelines in this chapter to configure auditing and accounting for this country version.

Electronic Audit Files – SAF-T

Requirement

It has become more common that auditors and some governments require audit information in electronic formats. The global standard was originally set by the OECD with their SAF-T format. This original standard has been adopted and is being adjusted by tax authorities in many countries around the world.

M3 solution

The creation of electronic audit files in XML or TXT format is supported by the M3 Financial Audit and Accounting module.

Configuration guidelines

Program ID	Program name	Description or comment
TXS035	Tax Reporting. Open Report Fields	Create type 4 codes with the appropriate details in the field values. See the detailed guidelines for (TXS035).
AAS300	Standard Audit File. Create	Generic XML – SAF-T. Define the folder for the output file.

Settings for 'Tax Reporting. Open Report Fields' (TXS035)

Number	Description	Type	Length
001	Tax Accounting Basis	4	40
002	Tax Entity	4	15
003	Taxonomy	4	40
004	Product ID	4	15

Number	Description	Type	Length
005	Product Version	4	15
006	Header Comment	4	40
007	Email	4	40
008	Website	4	40